

Olist Brazilian E-Commerce — Insights Summary

SQL Mini-Capstone | Business Analysis

1. Data Overview

The Olist Brazilian E-Commerce dataset contains 8 related tables covering customers, orders, payments, products, sellers, order items, reviews, and geolocation. The order data covers purchases from September 4, 2016 through October 17, 2018. The analysis shows some data gaps, including months with no recorded purchases, and some products with missing category values; category-level analyses exclude records without a named product category.

2. Three Business Insights

- **Revenue is concentrated in a few leading categories**

Q4 shows that `beleza_saude` generated the highest category revenue at 1,258,681.34, followed by `relogios_presentes` at 1,205,005.68 and `cama_mesa_banho` at 1,036,988.68. Q8 further shows that `beleza_saude` alone contributed 9.38% of total categorized revenue. This means these categories are important revenue drivers and deserve close attention when the business plans inventory, promotions, and product assortment.

- **The business has a large opportunity to increase repeat purchasing**

Q7 identified 93,099 one-time buyers compared with only 2,997 repeat buyers. This means the customer base is heavily weighted toward people who purchased only once, so increasing the rate at which first-time customers return could create a significant opportunity for longer-term customer value.

- **Most customers fall into Low or Medium spending tiers**

Q6 classified 47,255 customers as Low, 47,889 as Medium, and 4,296 as High based on the project's spending thresholds. Q1 also shows that the highest-spending customer spent 13,664.08. This means most customers are not in the highest-value group, while a smaller group of high-spending customers represents a distinct segment that can be managed differently from lower-spending buyers.

3. Two Recommendations

- **Recommendation 1** — Focus on customer retention. The business should create post-purchase follow-ups, personalized offers, and loyalty incentives aimed at one-time buyers. Converting even a portion of the 93,099 one-time buyers into repeat customers could strengthen customer lifetime value and reduce reliance on acquiring new buyers.
- **Recommendation 2** — Prioritize high-performing categories while targeting high-value customers. The business should maintain strong inventory and promotional support for leading categories such as `beleza_saude`, `relogios_presentes`, and `cama_mesa_banho`, while using targeted offers for the High-spend customer segment. This combines category-level revenue opportunities with customer-level value to support more focused commercial decisions.